CHAPTER SIX

DOUSING THE FLAMES

Simmering Discontent

Ratan's appointment as chairman, TELCO in December 1988 came at a time when the company was confronting the worst unrest the Tatas had faced in their history. It was a sort of baptism by fire for him. He had handled the strike at NELCO with skill and courage. But this was different. The stakes were higher. If he failed, it would have hobbled the second-largest company of the group, besides denting his prospects of succeeding JRD.

Labour problems had been simmering in TELCO for some years before Ratan took over as its chairman. Moolgaokar's deteriorating health left him little time to devote to the employees' grievances. In 1990, Ratan said: 'The company has, perhaps, taken its workers for granted for far too long. As a result, much distrust has sprung up. Trust will have to be earned again by both sides. This will be my effort for the future.'

The employees were represented by the TELCO Kamgar Sanghatana (TKS). Their leaders were elected by secret ballot once every three years and they settled labour issues through negotiations.

A firebrand trade union leader, Krishnan Pushparajan Nair, better known as Rajan Nair, controlled the TELCO workers' union. Within a year of Nair joining TELCO, in 1977, the company faced its first major labour unrest. Nair took an active part in the strike, substituting discussions, which were the traditional way of settling disputes in the company, with strong-arm tactics.

The strike made him popular, and he was elected the general secretary of the TKS in 1981 at just twenty-four years of age. With his election, the labour situation in the company took a turn for the worse. Nair was accused